

performance, the discipline applied by an engaged investor—improving corporate governance and reducing agency costs—leads to better long-term operating performance too. This is likely because agency costs—executive compensation, diversification, and cash hoarding—reduce the value of firms, and these are issues targeted by activists. Activist investors’ interests are aligned with other shareholders, and so seek to unlock this hidden value.

Graham described a stock’s market price discount from its intrinsic value as the barometer for assessing management’s performance. If the stock trades at a steep discount to intrinsic value, management should “take all proper steps to correct the obvious disparity between market quotation and intrinsic value, including a reconsideration of its own policies and a frank justification to the stockholders of its decision to continue the business.”⁶⁷ Where management was not forthcoming, shareholders should realize their rights as business owners and demand such a reconsideration of policies. A group of substantial stockholders with an important stake of their own to protect, acting in the interests of the shareholders generally should “gain a more respectful hearing from the rank and file of stockholders than has hitherto been accorded them in most cases.”⁶⁸

If they realized their rights as business owners, we would not have before us the insane spectacle of treasuries bloated with cash and their proprietors in a wild scramble to give away their interest on any terms they can get.

The research on activism bears out Graham’s thesis. An engaged shareholder can reduce agency costs by concentrating managers on creating shareholder value instead of pursuing other agendas. Any shareholder may do this, but, as Graham suggests, it does require that they realize their power as *owners*. Activist investors pressure boards to remove underperforming managers, stop value-destroying mergers and acquisitions, disgorge excess cash and optimize the capital structure, or press for a sale of the company, all of which are designed only to improve shareholder value. As a portfolio, companies with the conditions in place for activism offer asymmetric, market-beating returns. Activists exploit these properties by taking large minority stakes in these beaten-down stocks and then agitating for change, expecting a rapid resolution, and thereby a reduction in risk. This agitation—aggressive activism, with well-defined objectives—seems to improve both the short-term market performance and longer-term operating performance of the companies targeted beyond the mere mean reversion to deep value stocks. The market reacts as if this is the case, popping on the filing of a 13D notice. The opportunity is to identify these targets before activists arrive. We examine simple methods of doing so in the next chapter.